APS 1016 Financial Management for Engineers
Main Project
Professor Babu Gajaria
University of Toronto
Date: July 24th, 2024

Yuyang Zhang 1005051667
Cassie(Zi) Wang 1004959324
Jiaying Zheng 1005793232
Yuchen Zhang 1005693019



Table of Contents

1. Executive Summary Page 2

2. Industry Analysis Page 2

2.1 Barriers to Entry Page 2

2.2 Power of Suppliers Page 3

2.3 Power of Buyers Page 3

2.4 Threat of Substitutes Page 3

2.5 Industry Rivalry Page 3

3. Financial Analysis Page 4

3.1 Ratio Analysis Page 4

3.2 Common Size Analysis Page 5

3.3 Pro Forma Income Statement Page 6

3.4 Pro Forma Balance Sheet Page 6

4. Forecasting Stock Value Page 7

4.1 Historical Average Calculation Page 7

4.2 Forecasting Stock Price Page 9

5. WACC Page 10

6. Conclusion Page 12

7. Recommendation Page 12

8. Reference Page 13

1 - Executive Summary

This report aims to conduct a comprehensive equity valuation of two public companies in the Canadian retail industry - Loblaw and Walmart. We analyze the financial status and future prospects of these companies through fundamental analysis methods. The retail industry in Canada is highly competitive, with major players such as Loblaw and Walmart competing for market share. The industry is characterized by moderate barriers to entry, a diverse range of suppliers, strong buyers due to consumer demand, an abundance of substitute products, and intense competition among existing competitors.

This report uses several analytical methods to evaluate the financial health of Loblaw and Walmart and predict their future performance. The main analyses include Industry Analysis: Using Porter's Five Forces Framework, we will evaluate the competitive environment and its impact on the profitability of the two companies. Financial Ratio Analysis: ratio analysis is a financial analysis computation tool which is used to evaluate a company's performance, financial health, and operational efficiency by computing and interpreting various financial ratios derived from its financial statements. In this part, we will concentrate on the ratio analysis of Loblaws and Walmart based on the current ratio, debt/equity ratio, inventory turnover, profit margin, return on asset and equity. Common-size analysis: is a method to express each financial factor in financial statements as a percentage, and it enables us to easily compare across different periods and identify trends and disparities in financial performance. To conduct a common-size analysis, we utilize common-size financial statements to highlight changes in the relative significance of each item. Forecast Financial Statements: We will forecast the financial statements, including the balance sheet and income statement, for the next three years to predict future financial performance. Stock Value Forecast: Using models such as the dividend growth model, price-to-earnings multiple, and discounted cash flow analysis, we will estimate the future stock price of the two companies.

2 - Industry Analysis

The Canadian retail industry is a dynamic and competitive market characterized by several key factors that influence the profitability and sustainability of businesses within this sector. To evaluate the competitive environment of the retail industry, we will use Porter’s Five Forces framework.

2.1 - Barriers to Entry

The barriers to entry in the Canadian retail industry are moderate. Significant capital investment is required to establish a strong market presence, including costs related to store locations, inventory, and marketing. Additionally, established brands like Loblaw and Walmart have strong brand loyalty and economies of scale, making it difficult for new entrants to compete on price and variety. However the Canadian retail industry, on the other hand, does not require as much trained human resources and high-cost development infrastructure as other industries.

2.2 - Power of Suppliers

The power of suppliers in the retail industry is relatively low. Retailers like Loblaw and Walmart have numerous suppliers to choose from, which reduces the dependency on any single supplier. Large retailers can also negotiate better terms due to their high purchase volumes.But, suppliers of unique or high-demand products may have more bargaining power.

2.3 - Power of Buyers

The power of buyers in the retail industry is high due to the availability of numerous retail options and low switching costs. Customers can easily compare prices and products across different retailers, leading to intense competition among retailers to attract and retain customers. Both Loblaw and Walmart invest heavily in customer loyalty programs and competitive pricing strategies to maintain their customer base. Because buyers are very price sensitive, they can quickly choose a retail merchant with a better price, so the bargaining power of customers is high.

2.4 - Threat of Substitutes

The threat of substitutes in the retail industry is moderate. Customers have access to a variety of substitute products and services, including online shopping platforms, specialty stores, and wholesale clubs. The growing trend of e-commerce, in particular, poses a significant threat to traditional brick-and-mortar retailers. To mitigate this threat, both Loblaw and Walmart have developed robust online shopping platforms and omnichannel strategies. Since Loblaw and Walmart are making adjustments to their strategy, the threat of substitutes is moderate.

2.5 - Industry Rivalry

The level of rivalry in the Canadian retail industry is high. With many established players like Loblaw and Walmart, as well as smaller regional retailers, the competition for market share is intense. Price wars, frequent promotions, and extensive advertising are common strategies used by retailers to gain a competitive edge. The high level of rivalry pressures companies to continuously innovate and improve their offerings to attract customers.

3 - Financial Analysis

3.1- Ratio Analysis

Based on the ratios table, Loblaws and Walmart represent distinct financial trends compared to industry averages. Loblaws maintains stable liquidity with a current ratio of 1.37 in 2021, and slightly decreased to 1.25 in 2023, which remains within the common industry range of 1.2 to 2.0. Walmart shows a consistent current ratio of 1.53 in 2021 and increased to 1.60 in 2022 before returning to 1.53 in 2023. Both companies have high debt/equity ratios, with Loblaws at 2.15 in 2021, raised to 2.39 in 2023, and Walmart at 2.04 in 2021 fluctuated to 2.08 in 2023. These financial ratios suggest heavy reliance on debt financing, which could be concerned if interest rates rise or profitability declines. Walmart focuses on inventory turnover with a ratio of 9.35 in 2021, though it decreased to 8.20 in 2023 but it still indicates efficient inventory management compared to Loblaws, which has a ratio of 7.05 in 2021, and slightly decreased to 6.96 in 2023. Profit margins for Loblaws remain steady, at 3.53% in 2021 and 2023, with a slight climb down to 3.40% in 2022 which reflect stable profitability. In contrast, the profit margins of Walmart represent a declining trend from 2.42% in 2021 to 1.91% in 2023 which indicates potential challenges. Both companies demonstrate strong ROA and ROE with Loblaws is 5.12% in 2021, and slightly increased to 5.39% in 2023, and its ROE is 16.20% in 2021 and raised to 18.32% in 2023, therefore this trend indicates effective use of assets and equity. The ROA of Walmart was 5.35% in 2021 and climbed up at 5.58% in 2022 before dropping to 4.80% in 2023, and its ROE is 16.69% in 2021, declined to 15.23% in 2023.

In the final analysis, Loblaws' stable profitability, strong ROA, and improved ROE represent potential for stock price appreciation, despite its high debt/equity ratio. In contrast, Walmart’s efficient inventory management and historically strong financial ratios are positive indicators, but recent declines in profit

margin and ROA may negatively impact investor confidence and future stock prices if not addressed. Both companies are financially healthy, but Walmart needs to resolve its profitability and asset efficiency issues to maintain a positive expectation.

3.2 - Common Size Analysis

The common size analysis of Loblaws and Walmart represents distinct trends in their financial health. Loblaws maintains stable total current assets around 34.5%, while Walmart's decreased from 35.67% in 2021 to 31.11% in 2023 which suggest reduced in liquidity. Both companies increased net receivables and inventory, though Walmart's inventory levels rose more significantly. On the liabilities side, Loblaws' total current liabilities increased from 25.12% to 27.83%, and Walmart’s from 36.69% to 37.91%. Loblaws has a higher dependence on long-term debt which was reflected in its higher total liabilities percentage of around 70%, compared to Walmart’s consistent 65%. Based on the profitability, Loblaws shows a stable gross profit margin which was increased slightly from 31.47% to 31.98%, and maintained a net income of 3.53%. Walmart represents a slight decrease in gross profit margin from 24.83% to 24.14% and a decline in net income from 2.42% to 1.91% that indicate profitability challenges. Both companies maintain stable selling and administrative expenses, with Loblaws at around 25.90% and Walmart at approximately 20.80%. As suggested here, both companies demonstrate stability in operating expenses as a proportion of revenue, but they differ significantly in terms of liquidity and profitability trends. Loblaws shows a stable and slightly enhanced financial position with consistent profitability and a high dependence on long-term debt. However, Walmart faces declining profitability despite maintaining efficient inventory management and a stable asset base. The higher inventory levels and consistent current liabilities indicate Walmart's strategy of maintaining robust stock levels, possibly to cater to a broad customer base. The overall retail market remains competitive, requiring companies to balance liquidity, debt management, and profitability effectively. Loblaws' stable profitability and improving financial metrics suggest it is well-positioned to handle market fluctuations and leverage growth opportunities. On the other hand, Walmart needs to address its declining profitability to maintain investor confidence and sustain its market position.

3.3 - Pro Forma Income Statement

Loblaw's and Walmart's revenue trends share some similarities, driven by factors such as robust retail sales, financial services, and macroeconomic conditions, and have both grown consistently over the past three years. Loblaw's revenue growth is influenced by inflationary pressures, value offerings, and seasonal factors. Walmart's revenue growth is brought by strong food sales, eCommerce growth. For the pro forma income statement, we use an average growth rate of 5.81% for Loblaw's revenue and 4.58% for Walmart's revenue, reflecting historical trends and expected future conditions. Both companies experienced increases in COGS due to higher input costs, inflation, operational expenses, and supply chain costs. We project COGS growth rates of 5.42% for Loblaw and 5.08% for Walmart using the past three-year growth rate for COGS. SG&A expenses increased for both companies due to higher labor costs and operating leverage. We assume this item as a percentage of total sales. Interest expenses rose due to higher debt levels and interest rates, with projections set at 1.31% of total sales for Loblaw and 0.37% for Walmart. The effective tax rates fluctuate, projected at 22.90% of income before tax for Loblaw and 30.81% for Walmart. Accounts receivable improved for both companies; however, trade payables for Loblaw increased due to higher inventory purchases and extended payment terms, while Walmart's trade payables remained stable. Depreciation and amortization expenses rose for both companies due to higher investments in property and equipment, with Loblaw's expenses also driven by leased and IT assets depreciation and accelerated network optimization. We project depreciation growth rates of 12.16% for Loblaw and 7.23% for Walmart. Net income and EPS for Loblaw grew in the past three years, reflecting improved operational performance and share repurchases. In 2023, Loblaw increased its quarterly dividend to $0.446 per share, totaling $550 million, while retaining sufficient free cash flow for future growth and progressively increasing dividend payouts. For Walmart, net income decreased from $13.94 billion in 2022 to $11.29 billion in 2023, with EPS dropping from $4.87 to $4.27. Walmart increased its quarterly dividend to $0.57 per share in 2023.

3.4 - Pro Forma Balance Sheet

To forecast the balance sheet accurately, we considered several factors for both Loblaw and Walmart. For the cash position, we utilized a rolling average of the past three years to smooth out any anomalies and provide a

more stable projection. This approach takes into account the recent operational trends and cash flow activities mentioned in the companies' annual reports. In terms of inventories, we applied average inventory turnover rates, which are derived from historical data, to project future inventory levels. This method ensures that the projection aligns with the companies' efficient inventory management practices. For property, plant, and equipment (PPE), we first forecasted the gross PPE by examining historical growth rates and capital expenditure trends. We then projected the corresponding depreciation using historical depreciation rates. The net PPE value was obtained by subtracting the projected depreciation from the gross PPE. This detailed approach ensures that both growth in assets and their wear and tear are accurately represented. When forecasting accounts payable, we used the average accounts payable ratio for the past three years, which reflects the relationship between accounts payable and COGS. This ratio, when multiplied by the forecasted COGS, provides a reliable estimate of future accounts payable. For long-term debt, due to the lack of specific future plans in the annual reports, we used the average long-term debt level from the past three years. This assumption provides a conservative estimate that accounts for the companies' historical borrowing practices without speculating on future changes.

4 - Forecasting Stock Value

We get the historical data of stock prices and the cash flow statement from 2021 to 2023 from Yahoo Finance. We use the year-end adjusted close prices as price per share for the last three years to calculate the historical averages. And we will forecast the stock price based on historical average P/E ratio, and P/CF ratio and the forecasted future earnings and cash flow. And the data is shown in the exhibit.

4.1 - Historical Average Calculation

From the above information, we forecast the stock price based on P/E ratio, and P/CF ratio.

P/E ratio = Price per Share/ EPS; P/CF ratio = Price per Share/ Cash Flow per Share

4.1.1 - Loblaws

From Income Statement and Cash Flow Statement, we get the data of Earnings (Net Income), Operating Cash Flow, Sales (Total Revenue), and the Basic EPS as earnings per share.

The price per share for 2021 is $99.77, for 2022 is $116.86, and for 2023 is $127.04. And EPS for 2021 is 5.49, for 2022 is 5.82 and for 2023 is 6.59.

2021: P/E ratio = 99.77/5.49 = 18.173 2022: P/E ratio = 116.86/5.82 = 20.079

2023: P/E ratio = 127.04/6.59 = 19.278

Average P/E ratio = $\frac{18.173+20.079+19.278}{3}$ = 19.177

Number of Shares = Earnings/ EPS. Therefore the number of shares for 2021 is 341530, for 2022 is 330069, and for 2023 is 318665.

The operating cash flow for 2021 is $4755000, for 2022 is $5654000, and for 2023 is $5595000.

Cash Flow per Share: 2021: 4755000/341530 = 13.92

2022: 5654000/330069 = 17.13 2023: 5595000/318665 = 17.56

P/CF ratio: 2021: P/CF ratio = 99.77/13.92 = 7.17

2022: P/CF ratio = 116.86/17.13 = 6.82 2023: P/CF ratio = 127.04/17.56 = 7.23

Average P/CF ratio = $\frac{7.17+6.82+7.23}{3}$ = 7.07

4.1.2 - Walmart

The price per share for 2021 is $46.26, for 2022 is $46.06, and for 2023 is $52. And EPS for 2021 is 1.59, for 2022 is 1.63, and for 2023 is 1.43.

So the P/E ratio is calculated as follows: 2021: P/E ratio = 46.26/1.59 = 29.09

2022: P/E ratio = 46.06/1.63 = 28.26 2023: P/E ratio = 52/1.43 = 36.36

Average P/E ratio = 31.24

2021: Number of Shares = 13510000/1.59 = 8496855

2022: Number of Shares = 13673000/1.63 = 8388343

2023: Number of Shares = 11680000/1.43 = 8167832

The operating cash flow for 2021 is $36074000, for 2022 is $24181000, and for 2023 is $28841000.

Cash Flow per Share: 2021: 36074000/8496855 = 4.25

2022: 24181000/8388343 = 2.88 2023: 28841000/8167832 = 3.53

P/CF ratio: 2021: P/CF ratio = 46.26/4.25 = 10.90

2022: P/CF ratio = 46.06/2.88 = 15.98 2023: P/CF ratio = 52/3.53 = 14.73

Average P/CF ratio = 13.87

4.2 - Forecasting Stock Price

We will forecast next year’s earnings and cash flow by multiplying next year’s earnings and cash flow by average P/E and P/cash flow multiple to arrive at the forecasted stock price.

From part 3, we have made assumptions for the income before tax and revenue growth rate.

4.2.1 - Loblaws

Forecast next year's earnings and cash flow:

Earnings for 2023: $2,100,000

Growth Rate for Earnings: 4.72%

Projected Earnings for 2024 = 2,100,000 × (1 + 4.72%) = 2,198,120

Operating Cash Flow for 2023: $5,595,000

Growth Rate for Cash Flow: 5.81%

Projected Cash Flow for 2024 = 5,595,000 × (1 + 5.81%) = 5,920,020

Calculate the projected stock price:

Using P/E Ratio:

Projected EPS = 2,198,120 / 318,665 = 6.90

Projected Stock Price (P/E) = Average P/E × Projected EPS = 19.177 × 6.90 = 132.32

Using P/Cash Flow Ratio:

Projected Cash Flow per Share = 5,920,020 / 318,665 = 18.57

Projected Stock Price (P/Cash Flow) = Average P/Cash Flow × Projected Cash Flow per Share = 7.07 × 18.57 = 131.29

4.2.2 - Walmart

Forecast next year's earnings and cash flow:

Assume the growth rates are applied to the most recent year's data.

Earnings for 2023: $11,680,000

Growth Rate for Earnings: 3.24%

Projected Earnings for 2024 = 11,680,000 × (1 + 3.24 / 100) = 12,057,232

Operating Cash Flow for 2023: $28,841,000

Growth Rate for Cash Flow: 4.58%

Projected Cash Flow for 2024 = 28,841,000 × (1 + 4.58 / 100) = 30,157,697

Calculate the projected stock price:

Using P/E Ratio:

Projected EPS = 12,057,232 / 8,167,832 = 1.48

Projected Stock Price (P/E) = Average P/E × Projected EPS = 31.24 × 1.48 = 46.24

Using P/Cash Flow Ratio:

Projected Cash Flow per Share = 30,157,697 / 8,167,832 = 3.69

Projected Stock Price (P/Cash Flow) = Average P/Cash Flow × Projected Cash Flow per Share = 13.87 × 3.69 = 51.20

Based on the historical data and the calculated ratios, Loblaws shows a slightly higher stability in its price forecast, with projected stock prices close in value whether using P/E or P/CF ratios. Walmart, however, exhibits a more significant difference between the two forecasting methods, indicating potential variability in stock performance based on cash flow changes. Overall, both companies are projected to have moderate growth in their stock prices next year, with Loblaws expected to reach around $132 and Walmart between $46 and $51.

5 - WACC

We have found the risk free rate (10-Y treasury bond) from the U.S. Department of the Treasury website.[3] We have found the beta (5Y Monthly) from Yahoo Finance.[1][2] And we have found market rate (average return) from Investopedia.[4]

5.1 - Loblaws

Risk-free Rate(rf): 4.30% (from the Treasury yield data provided)

Market Return(rm): 10.26% (average annualized return since 1957)

β: 0.15

Market value of Equity (Market Cap): $52.09B

Long Term Debt(2023): $6,661,000,000 Current Debt(2023): $2,054,000,000

Total Debt (D) = Long Term Debt + Current Deb = 6,661,000,000 + 2,054,000,000 = 8,715,000,000

Cost of Equity (re): Using the CAPM formula:

re = rf + β × (rm − rf) = 4.30% + 0.15 × (10.26% − 4.30%) = 5.194%

Cost of Debt (rd):

Interest Expense (2023): $825,000,000 Total Debt (D): $8,715,000,000

rd = Interest Expense/ Total Debt = 825000000/8715000000 = 0.0946 = 9.46%

Income Before Tax: $2,901,000,000 Income Tax Expense: $714,000,000

Effective Tax Rate(T) = Income Tax Expense/Income Before Tax = 0.246 = 24.6%

We = E/(D+E) = 0.857 Wd = D/(D+E) = 0.143

WACC = We × re + Wd × rd × (1-T) = 0.857 × 5.194% + 0.143 × 9.46% × (1-24.6%) = 5.47%

5.2 - Walmart

Market Value of Equity (E)/Market Cap: $568.276B

Market Value of Debt (D):

Long Term Debt: $34.649B Current Debt: $4.563B

Total Debt: $34.649B + $4.563B = $39.212B

Risk-free Rate (rf): 4.30% β (5Y Monthly): 0.50 Market Return (rm): 10.26%

Using the CAPM formula:

re = rf + β × (rm − rf) = 4.30% + 0.50 × (10.26% − 4.30%) = 7.28%

Interest Expense (2023): $2.128B Total Debt: $39.212B

Cost of Debt(rd) = Interest Expense/Total Debt = 2,128,000,000/39,212,000,000 = 5.43%

Effective Tax Rate (T):

Income Before Tax (2023): $17.016B Income Tax Expense (2023): $5.724B

Effective Tax Rate (T) = Income Tax Expense/ Income Before Tax = 0.336 = 33.6%

Wd = D/(D+E) = 0.065 We = E/(D+E) = 0.935

WACC = We × re + Wd × rd × (1-T) = 0.935 × 7.28% + 0.065 × 5.43% × (1-33.6%) = 7.04%

Therefore, WACC for Loblaws is 5.47%, and WACC for Walmart is 7.04%.

6 - Conclusion

Our report evaluates Loblaw and Walmart, two key players in the Canadian retail industry. Using Porter's Five Forces, we identify the industry as highly competitive, with moderate entry barriers, low supplier power, high buyer power, moderate threat of substitutes, and intense rivalry. Our financial analysis shows Loblaw's stable profitability and strong asset efficiency, despite high debt levels. Walmart shows efficient inventory management but faced declining profitability, which could impact its stock price. Pro forma statements revealed consistent growth for both companies. Loblaw's financial stability positions it well for market fluctuations, while Walmart needs to address its declining profitability to maintain investor confidence. Stock value forecasts suggest Loblaw's price is likely to grow, which shows its strong financial health. Walmart's stock price has potential but requires improved profitability to meet expectations. In summary, Loblaw shows stronger financial health and growth prospects, while Walmart must resolve profitability issues to sustain its market position.

7 - Recommendations

Based on the comprehensive analysis of Loblaw and Walmart in our reports, we can provide insightful investment recommendations. Given Loblaw's consistent financial performance, strong market position, and growth potential, it is recommended to buy Loblaw's shares. The company is well positioned to capture industry trends and maintain competitive advantages, making it an attractive investment opportunity. Walmart demonstrates efficient inventory management and historically strong financial ratios. However, the recent decline in profit margins and ROA indicates potential challenges that need to be addressed to maintain investor confidence. The company must improve its profitability to maintain its stock value. These recommendations are designed to maximize investment returns by leveraging the strengths identified in our analysis and addressing the weaknesses that exist.

8 - References

1. Yahoo Finance. Loblaw Companies Limited (L.TO) stock price & news - Yahoo Finance. Yahoo Finance. Retrieved from https://ca.finance.yahoo.com/quote/L.TO/
2. Yahoo Finance. Walmart Inc. (WMT) stock price & news - Yahoo Finance. Yahoo Finance. Retrieved from https://ca.finance.yahoo.com/quote/WMT/
3. U.S. Department of the Treasury. Daily treasury yield curve rates. Retrieved from https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily_treasury_yield_curve&field_tdr_date_value_month=202407
4. Investopedia. (J.B.Maverick, Jan 3rd, 2024). S&P 500 average return and historical performance. Retrieved from https://www.investopedia.com/ask/answers/042415/what-average-annual-return-sp-500.asp

Appendix

3.1 Ratio Analysis Table

Ratio Analysis				
		31/12/2021	31/12/2022	31/12/2023
	Current Ratio	1.37	1.32	1.25
	Debt/Equity Ratio	2.15	2.36	2.39
Loblaws	Inventory Turnove	7.05	6.58	6.96
	Profit Margin %	3.53%	3.40%	3.53%
	Return on Assets '	5.12%	5.04%	5.39%
	Return on Equity '	16.20%	17.00%	18.32%
	Current Ratio	1.53	1.60	1.53
	Debt/Equity Ratio	2.04	1.84	2.08
Walmart	Inventory Turnove	9.35	7.59	8.20
	Profit Margin %	2.42%	2.39%	1.91%
	Return on Assets '	5.35%	5.58%	4.80%
	Return on Equity '	16.69%	16.42%	15.23%

3.2 Common-size Analysis Table

Loblaws Balance Sheet - Common Size

Common Size Analysis - Loblaws BS			
	31/12/2021	31/12/2022	31/12/2023
Cash And Cash Equivalents	5.40%	4.22%	3.82%
Other Short Term Investments	1.27%	0.85%	1.19%
Total Cash	6.66%	5.07%	5.01%
Net Receivables	11.99%	13.51%	13.93%
Inventory	14.11%	15.35%	14.93%
Other Current Assets	0.68%	0.93%	0.83%
Total Current Assets	34.51%	35.06%	34.83%
Gross Property, Plant and Equipment	71.30%	74.52%	79.52%
Accumulated Depreciation	-36.81%	-39.98%	-43.50%
Net Property, Plant and Equipment	34.48%	34.54%	36.02%
Equity and Other Investments	0.61%	1.05%	1.02%
Goodwill	10.79%	11.33%	11.16%
Intangible Assets	17.49%	17.05%	15.38%
Other Long-term Assets	0.10%	0.25%	0.20%
Total Non-current Assets	65.49%	64.94%	65.17%
Total Assets	100.00%	100.00%	100.00%
Current Debt	4.11%	3.76%	5.27%
Accounts Payable	14.84%	16.30%	16.22%
Taxes Payable	0.42%	0.51%	0.62%
Deferred Revenues	0.72%	0.80%	0.74%
Other Current Liabilities	0.52%	0.47%	0.00%
Total Current Liabilities	25.12%	26.47%	27.83%
Long Term Debt	16.96%	18.50%	17.09%
Deferred Taxes Liabilities	3.68%	3.35%	2.90%
Other Long-term Liabilities	0.17%	0.23%	0.57%
Total Non-current Liabilities	42.83%	43.50%	42.36%
Total Liabilities	67.94%	69.97%	70.19%
Common Stock	18.71%	17.53%	16.62%
Retained Earnings	12.54%	11.69%	12.36%
Accumulated Other Comprehensive Income	0.04%	0.08%	0.09%
Total Stockholders' Equity	31.61%	29.62%	29.41%
Total Liabilities and Stockholders' Equity	100.00%	100.00%	100.00%

Loblaws Income Statement - Common Size

Common Size Analysis - Loblaws IS			
	31/12/2021	31/12/2022	31/12/2023
Total Revenue	100.00%	100.00%	100.00%
Cost of Revenue	68.53%	68.19%	68.02%
Gross Profit	31.47%	31.81%	31.98%
Selling General and Administrative	25.95%	25.90%	25.76%
Total Operating Expenses	25.95%	25.90%	25.76%
Operating Income or Loss	5.52%	5.91%	6.22%
Interest Expense	1.29%	1.26%	1.39%
Income Before Tax	4.59%	4.71%	4.87%
Income Tax Expense	0.88%	1.18%	1.20%
Income from Continuing Operations	3.72%	3.53%	3.67%
Net Income	3.53%	3.40%	3.53%
Net Income available to common shareholders	3.50%	3.38%	3.51%

Walmart Balance Sheet - Common Size

Common Size Analysis - Walmart BS			
	31/01/2021	31/01/2022	31/01/2023
Cash And Cash Equivalents	7.03%	6.03%	3.55%
Total Cash	7.03%	6.03%	3.55%
Net Receivables	2.58%	3.38%	3.26%
Inventory	17.80%	23.08%	23.26%
Other Current Assets	8.26%	0.62%	1.04%
Total Current Assets	35.67%	33.11%	31.11%
Gross Property, Plant and Equipment	78.50%	84.71%	90.81%
Accumulated Depreciation	-35.00%	-38.72%	-41.78%
Net Property, Plant and Equipment	43.50%	46.00%	49.03%
Goodwill	11.48%	11.85%	11.58%
Other Long-term Assets	9.35%	9.05%	8.28%
Total Non-current Assets	64.33%	66.89%	68.89%
Total Assets	100.00%	100.00%	100.00%
Current Debt	1.32%	1.31%	1.88%
Accounts Payable	19.46%	22.57%	22.10%
Taxes Payable	0.10%	0.35%	0.30%
Accrued Liabilities	7.76%	8.27%	10.37%
Deferred Revenues	0.91%	1.05%	1.02%
Other Current Liabilities	5.04%	0.01%	0.00%
Total Current Liabilities	36.69%	35.69%	37.91%
Long Term Debt	16.31%	14.24%	14.25%
Deferred Taxes Liabilities	5.69%	5.50%	6.04%
Other Long-term Liabilities	5.69%	5.50%	6.04%
Total Non-current Liabilities	28.64%	26.79%	27.55%
Total Liabilities	65.33%	62.47%	65.46%
Common Stock	0.11%	0.11%	0.33%
Retained Earnings	35.15%	35.49%	34.18%
Accumulated Other Comprehensive Income	-4.66%	-3.58%	-4.80%
Total Stockholders' Equity	32.05%	34.00%	31.54%
Total Liabilities and Stockholders' Equity	100.00%	100.00%	100.00%

Walmart Income Statement - Common Size

Common Size Analysis - Walmart IS			
	31/01/2021	31/01/2022	31/01/2023
Total Revenue	100.00%	100.00%	100.00%
Cost of Revenue	75.17%	74.90%	75.86%
Gross Profit	24.83%	25.10%	24.14%
Selling General and Administrative	20.80%	20.57%	20.80%
Total Operating Expenses	20.80%	20.57%	20.80%
Operating Income or Loss	4.03%	4.53%	3.34%
Interest Expense	0.41%	0.35%	0.35%
Total Other Income/Expenses Net	0.04%	-0.94%	-0.25%
Income Before Tax	3.68%	3.26%	2.78%
Income Tax Expense	1.23%	0.83%	0.94%
Income from Continuing Operations	2.45%	2.43%	1.85%
Net Income	2.42%	2.39%	1.91%

3.3 Pro Forma Income Statement

Pro Forma Assumptions

Assumptions			
	Loblaws	Walmart	Notes
Revenue Growth	5.81%	4.58%	Average Growth Rate
COGS Growth	5.42%	5.08%	Average Growth Rate
Total Operating Expenses	25.87%	20.72%	% of Total Sales
Interest Expense	1.31%	0.37%	% of Total Sales
Income Before Tax	4.72%	3.24%	% of Total Sales
Income Tax Expense	22.90%	30.81%	% of Income Before Tax
Average Inventory Turnover	6.86	8.38	Average of Inventory Turnover from Ratio Analysis
Gross PPE Growth	8.97%	5.56%	Average Growth Rate
Depreciation Growth	12.16%	7.23%	Average Growth Rate
Average A/P Turnover	6.44	8.32	COGS / AP
Long Term Debt	6642667	36902333	No clues in the annual reports, use the average LT debt level

Pro Forma Balance Sheet - Loblaws

Loblaws Balance Sheet						
	31/12/2021	31/12/2022	31/12/2023	2024	2025	2026
Cash And Cash Equivalents	1976000	1608000	1488000			
Other Short Term Investments	464000	326000	464000			
Total Cash	2440000	1934000	1952000	2108667	1998222	2019630
Net Receivables	4390000	5153000	5430000			
Inventory	5166000	5855000	5820000	6219262	6556320	6911645
Other Current Assets	249000	353000	324000			
Total Current Assets	12637000	13376000	13578000			
Gross Property, Plant and Equipment	26104000	28428000	30995000	33774117	36802419	40102249
Accumulated Depreciation	-13478000	-15253000	-16954000	-19015735	-21328192	-23921862
Net Property, Plant and Equipment	12626000	13175000	14041000	14758382	15474227	16180387
Equity and Other Investments	222000	399000	396000			
Goodwill	3949000	4323000	4349000			
Intangible Assets	6402000	6505000	5994000			
Other Long-term Assets	35000	94000	78000			
Total Non-current Assets	23977000	24771000	25401000			
Total Assets	36614000	38147000	38979000			
Current Debt	1504000	1435000	2054000			
Accounts Payable	5433000	6218000	6324000	6633304	6992801	7371782
Taxes Payable	153000	195000	240000			
Deferred Revenues	265000	305000	289000			
Other Current Liabilities	190000	180000				
Total Current Liabilities	9196000	10098000	10847000			
Long Term Debt	6211000	7056000	6661000	6642667	6642667	6642667
Deferred Taxes Liabilities	1346000	1279000	1132000			
Other Long-term Liabilities	61000	89000	221000			
Total Non-current Liabilities	15681000	16593000	16513000			
Total Liabilities	24877000	26691000	27360000			
Common Stock	6852000	6686000	6477000			
Retained Earnings	4591000	4461000	4816000			
Accumulated Other Comprehensive Income	14000	30000	35000			
Total Stockholders' Equity	11573000	11299000	11464000			
Total Liabilities and Stockholders' Equity	36614000	38147000	38979000			

Pro Forma Balance Sheet - Walmart

Walmart Balance Sheet						
Breakdown	31/01/2021	31/01/2022	31/01/2023	2024	2025	2026
Cash And Cash Equivalents	17741000	14760000	8625000			
Total Cash	17741000	14760000	8625000	13708667	12364556	11566074
Net Receivables	6516000	8280000	7933000			
Inventory	44949000	56511000	56576000	58150452	61104431	64208469
Other Current Assets	20861000	1519000	2521000			
Total Current Assets	90067000	81070000	75655000			
Gross Property, Plant and Equipment	198218000	207433000	220844000	233116458	246070905	259745240
Accumulated Depreciation	-88370000	-94809000	-101610000	-108956291	-116833710	-125280658
Net Property, Plant and Equipment	109848000	112624000	119234000	124160167	129237195	134464581
Goodwill	28983000	29014000	28174000			
Other Long-term Assets	23598000	22152000	20134000			
Total Non-current Assets	162429000	163790000	167542000			
Total Assets	252496000	244860000	243197000			
Current Debt	3339000	3213000	4563000			
Accounts Payable	49141000	55261000	53742000	58602094	61579016	64707162
Taxes Payable	242000	851000	727000			
Accrued Liabilities	19594000	20254000	25213000			
Deferred Revenues	2310000	2559000	2488000			
Other Current Liabilities	12734000	21000				
Total Current Liabilities	92645000	87379000	92198000			
Long Term Debt	41194000	34864000	34649000	36902333	36902333	36902333
Deferred Taxes Liabilities	14370000	13474000	14688000			
Other Long-term Liabilities	14370000	13474000	14688000			
Total Non-current Liabilities	72320000	65590000	67008000			
Total Liabilities	164965000	152969000	159206000			
Common Stock	282000	276000	808000			
Retained Earnings	88763000	86904000	83135000			
Accumulated Other Comprehensive Income	-11766000	-8766000	-11680000			
Total Stockholders' Equity	80925000	83253000	76693000			
Total Liabilities and Stockholders' Equity	252496000	244860000	243197000			

Pro Forma Income Statement - Loblaws

Loblaws Income Statement						
Breakdown	31/12/2021	31/12/2022	31/12/2023	2024	2025	2026
Total Revenue	53170000	56504000	59529000	62988842	66649772	70523475
Cost of Revenue	36436000	38528000	40492000	42686497	44999928	47438736
Gross Profit	16734000	17976000	19037000	20302345	21649844	23084739
Selling General and Administrative	13797000	14634000	15333000			
Total Operating Expenses	13797000	14634000	15333000	16294182	17241205	18243268
Operating Income or Loss	2937000	3342000	3704000	4008163	4408639	4841471
Interest Expense	688000	711000	825000	826867	874925	925776
Income Before Tax	2442000	2659000	2901000	2975579	3148520	3331513
Income Tax Expense	466000	665000	714000	681450	721056	762964
Income from Continuing Operations	1976000	1994000	2187000	2052333	2077778	2105704
Net Income	1875000	1921000	2100000			
Net Income available to common shareholders	1863000	1909000	2088000			
Basic EPS	5.49	5.82	6.59			
Diluted EPS	5.45	5.75	6.52			
Basic Average Shares	339100	328100	316700			
Diluted Average Shares	341800	331700	320000			

Pro Forma Income Statement - Walmart

Walmart Income Statement						
	31/12/2021	31/12/2022	31/12/2023	2024	2025	2026
Total Revenue	559151000	572754000	611289000	639288527	668570546	699193800
Cost of Revenue	420315000	429000000	463721000	487277518	512030682	538041278
Gross Profit	138836000	143754000	147568000	152011008	156539864	161152522
Selling General and Administrative	116288000	117812000	127140000			
Total Operating Expenses	116288000	117812000	127140000	132471891	138539643	144885323
Operating Income or Loss	22548000	25942000	20428000	19539117	18000221	16267198
Interest Expense	2315000	1994000	2128000	2365964	2474335	2587669
Total Other Income/Expenses Net	210000	-5410000	-1538000			
Income Before Tax	20564000	18696000	17016000	20724825	21674106	22666868
Income Tax Expense	6858000	4756000	5724000	6385116	6677580	6983441
Income from Continuing Operations	13706000	13940000	11292000	12979333	12737111	12336148
Net Income	13510000	13673000	11680000			
Net Income available to common shareholders	13510000	13673000	11680000			
Basic EPS	1.59	1.63	1.43			
Diluted EPS	1.58	1.62	1.42			
Basic Average Shares	8493000	8376000	8171000			
Diluted Average Shares	8541000	8415000	8202000			

4.1 - Forecasting Stock Value - Loblaws

Forcasting Stock Value - Loblaws			
	31/12/2021	31/12/2022	31/12/2023
Price per Share	99.77	116.86	127.04
P/E Ratio	18.17304189	20.0790378	19.27769347
Average P/E Ratio	19.17659106		
Number of Shares	341530.0546	330068.7285	318664.6434
Cash Flow per Share	13.92264	17.12976575	17.55764286
P/CF Ratio	7.166025984	6.822043087	7.235595406
Average P/CF Ratio	7.074554826		

4.2 - Forecasting Stock Value - Walmart

Forcasting Stock Value - Walmart			
	31/01/2021	31/01/2022	31/01/2023
Price per Share	46.26	46.06	52
P/E Ratio	29.09433962	28.25766871	36.36363636
Average P/E Ratio	31.23854823		
Number of Shares	8496855.346	8388343.558	8167832.168
Cash Flow per Share	4.245570688	2.882690704	3.531047089
P/CF Ratio	10.89606166	15.97812763	14.72650992
Average P/CF Ratio	13.86689974		